

Project Falcon - Confidential Information Memorandum

Northwind Analytics Pvt. Ltd. (fictional company for testing). Strictly confidential. Prepared by the sell-side advisor for a limited set of prospective buyers.

1. Company overview

Northwind Analytics is a Pune-headquartered provider of AI-enabled data annotation and model evaluation services for life-sciences and publishing clients. Founded in 2014, the company employs 640 people across Pune, Manila and Boston. It sells multi-year managed-service contracts priced per annotated unit, plus a SaaS quality-review platform (Northwind QA) on annual subscriptions.

Business model: managed services (per-unit pricing) and SaaS subscriptions.

2. Revenue mix

Segment	FY2024 share
Managed annotation services	68%
Model evaluation services	20%
Northwind QA SaaS	12%

Geography	FY2024 share
North America	61%
Europe	27%
India & APAC	12%

Recurring revenue (SaaS plus multi-year contracts) was 74% of FY2024 revenue.

3. Customers

Northwind serves 85 active customers. The top 10 customers contributed 58% of FY2024 revenue, and the largest customer, a global pharmaceutical company, contributed 22%. Average customer tenure is 5.1 years; gross revenue retention was 93% in FY2024.

4. Historical and projected financials (USD mn)

USD mn	FY2022	FY2023	FY2024	FY2025E	FY2026E
Revenue	31.0	38.5	46.2	58.0	72.5
Gross profit	13.3	16.9	20.8	26.7	34.1
Adjusted EBITDA	5.3	7.3	9.7	13.3	17.4
PAT	2.4	3.6	5.1	7.6	10.4
Capex	1.1	1.5	2.0	2.6	3.0

Net debt as of March 2024 was USD 4.0 mn.

5. Growth strategy and investment highlights

Growth drivers: expansion of model-evaluation services for foundation-model developers; upsell of Northwind QA SaaS to the managed-services base; opening a delivery centre in Kraków.

Note: revenue for FY2024 of USD 47.9 mn in the management presentation includes a one-off pass-through billing of USD 1.7 mn.

6. Key considerations

Founder and CEO Ravi Menon leads all top-5 client relationships. Attrition among annotators was 31% in FY2024. Pricing pressure is expected as clients adopt automated labelling. The largest customer contract comes up for renewal in December 2025.

7. Transaction

The shareholders are inviting proposals for a 100% stake. Indicative valuation expectation: USD 180 mn enterprise value. Reason for sale: private-equity investor exit after a 7-year hold. Non-binding offers due by 15 November 2026.